

VISTANCE NETWORKS INC VISN

March 05, 2026 - 7:32pm EST

by

lpartners

2026 2027

Price:	17.87	EPS	0	0
Shares Out. (in M):	221	P/E	0	0
Market Cap (in \$M):	3,950	P/FCF	0	0
Net Debt (in \$M):	-2,600	EBIT	0	0
TEV (in \$M):	1,150	TEV/EBIT	0	0

Description

Executive Summary

Vistance Networks (formerly CommScope) is sitting in the middle of a rare set of inefficiencies that's making the current opportunity sit under the radar and keeping the market from properly pricing the remaining business. I expect a 100% upside as the situation becomes clear over the next couple of months.

The Company has effectively gone under the radar due to a chain of complex events that's making it screen quite badly. CommScope spent 2023-2025 executing a serial divestiture program driven by the need to address \$9 billion of debt accumulated from the 2019 ARRIS acquisition. Over 24 months, it sold Home Networks to Vantiva, its OWN/DAS segment to Amphenol for \$2.1 billion, and finally its crown jewel CCS segment to Amphenol for \$10.5 billion — a deal that also transferred the CommScope name and brand. What remained was renamed Vistance Networks and began trading under the VISN ticker on January 14, 2026. They basically used all the cash from the divestitures to eliminate debt and preferred equity completely and they now sit on 2.6B cash they plan to return fully to investors

According to management: "We expect the special distribution will be at least \$10 per share and will be paid no later than the end of April. We expect the distribution to be a return of basis for tax purposes."

This event would not be taxable as ordinary dividend income which is a meaningful benefit for investors.

The stock is currently a mix of a huge cash position and a highly profitable operating business, and the market has not cleanly separated the two. At \$17/share, the company holds approximately \$11.70/share of distributable cash. The remaining ~\$5-6/share and 1.15 billion market cap is what the market is currently paying for Ruckus Networks and Aurora Networks.

The new entity reported earnings for the first time on February 26 and guided to 2026 core adjusted EBITDA guidance of \$350-400 million, that \$5-6 stub implies an enterprise value of roughly \$1.15 billion and an EV/EBITDA value of approximately 3 times. This multiple is in my opinion inadequate for business segments that grew revenue 40% and EBITDA 176% in 2025.

- A focused portfolio
- Innovative intelligent network solutions to lead the industry

Vistance Networks is the parent company to
RUCKUS Networks and Aurora Networks.






Segment analysis: Ruckus Networks and Aurora Networks

Ruckus Networks sells enterprise Wi-Fi access points, Ethernet switches and a cloud management platform called RuckusOne to mid-market and large enterprises. It basically provides Wi-Fi gear for big buildings and campuses for sectors including education, healthcare, stadiums and multi-dwelling units among others.

Based on IDC's Q3 2025 estimates, Ruckus sits in the top 5 enterprise WLAN vendor globally with ~4-6% market share. Cisco holds almost 40% market share and then we have some other players below like Huawei or Ubiquiti.

Regardless of that, the competitive landscape is more nuanced than just concluding that Ruckus is a subscale player. Competitive environment is more complex because Ruckus plays a different game: while Cisco and HPE/Aruba compete primarily in large enterprises and campus environments where they bundle WLAN with the full networking stack (routing, security, SD-WAN), Ruckus wins where RF performance in dense, difficult physical spaces is the deciding factor. Stadiums, hospitality, K-12 schools, MDUs, and healthcare facilities are its core verticals. The patented BeamFlex adaptive antenna technology is genuinely differentiated. It dynamically steers signals to individual clients, which gives Ruckus a performance advantage in high-density environments that static-antenna competitors struggle with.

Ubiquiti is essentially a prosumer/SMB brand that's moved upmarket through price disruption. It competes on cost and not on deep features. In many enterprise-managed deployments, Ruckus often shows up against Aruba/Extreme/Juniper, while Ubiquiti tends to be a value-led alternative in lighter-touch environments. Ruckus competes more directly

with Extreme Networks, Aruba, and Juniper/Mist in the managed enterprise segment.

Ruckus financials

Ruckus Networks delivered \$687M in core revenue and \$128M in adjusted EBITDA in FY2025, representing 32% and 210% year-over-year growth respectively, with EBITDA margins expanding from roughly 8% in FY2024 to approximately 18.6%. FY2024 results were severely depressed by an industry-wide WLAN channel inventory correction, while FY2025 included roughly \$10M of one-time E&O inventory reserve reversals, stripping those out, underlying margins were closer to 17%, still a dramatic improvement driven by volume leverage on a largely fixed cost base. Management invested aggressively into the recovery, deploying an incremental \$30M year-over-year in go-to-market and sales headcount, which pressured Q4 2025 EBITDA (\$20M, down meaningfully sequentially) but drove market share gains and a backlog that exited the year 19% above FY2024 levels. RuckusOne subscription deferred revenue grew 93% year-over-year, signaling meaningful traction in the recurring revenue transition. For 2026E, management guides mid-teens revenue growth which is well ahead of the roughly 10% WLAN market, and low-teens EBITDA growth, targeting low-20% or high teens EBITDA margins at scale, broadly consistent with peers like Extreme Networks. The primary catalysts are the Wi-Fi 7 upgrade cycle, continued subscription mix shift, and operating leverage as the sales investments made in 2025 begin to yield returns against a more normalized cost structure.

“RUCKUS is well positioned for growth in 2026, driven by continued demand for our Wi-Fi 7 product offering and our strategic go-to-market investments. We expect to continue to grow market share and deliver low teen adjusted EBITDA growth in 2026”

The most direct competitor for Ruckus is Extreme Networks (EXTR) which has a similar revenue profile, competes in the same enterprise WLAN market and is cloud-managed. EXTR is currently trading at roughly 10x forward EBITDA (it was trading higher some weeks ago). If we have a look at networking M&A, we can see that it historically has been done at meaningful premiums: HPE acquired Juniper for \$14 billion which at the time was roughly 15x EBITDA. In fact, if we have a look at Ruckus history Ruckus Wireless was an independent public company (NYSE: RKUS) we can see that Arris acquired Ruckus from Broadcom for \$800M in 2017 when the business was smaller and less established.

If we base our estimates on what management is guiding for 2026 and we take the midpoint of low-teen growth off \$128M which is approximately \$145M, a 9-11x multiple implies over \$1 billion of value. On 2027 numbers, assuming continued share gains and margin expansion toward the low-20s, the case gets even more compelling.

Growth drivers

The global enterprise WLAN market grew approximately 10.5% through the first three quarters of 2025 according to IDC, with Wi-Fi 7 already making up 31% of dependent access point revenues by Q3 2025 versus just 12% a quarter earlier. Ruckus is well-positioned in the transition from Wi-Fi 5 and 6 to Wi-Fi 7 because Wi-Fi 7's primary value proposition (multi-link operation, 320 MHz channels, and 4096-QAM) benefits the high-density environments where Ruckus's patented BeamFlex antenna technology already dominates. Management is guiding mid-teens revenue growth for 2026, meaningfully above WLAN market growth rate which implies share gains. The investment in go-to-market headcount made in 2025 which resulted in \$30M incremental spend is key. Those sales resources are now deployed and producing pipeline, with the backlog exiting 2025 at 19% above prior year levels. Furthermore, RuckusOne subscription deferred revenue grew by 93% YoY which signals a shift toward recurring revenue which is accretive to margins and valuation multiples. Ruckus earnings quality seems to be improving and following a similar playbook compared to EXTR.

Rumours of acquisition for Ruckus segment

This is another very bullish upside optionality that is very clearly on the table right now. Earlier this year Bloomberg reported that Extreme Networks is exploring an acquisition. This is a credible rumor as EXTR has publicly stated its ambition to reach \$2B in revenue and a Ruckus acquisition would be transformative for their scale. Extreme Networks was believed to have interest in acquiring Ruckus for \$1B. A 9x acquisition multiple would cover the totality of what will be left of market cap after the special dividend and would result in Aurora business being effectively free.

Extreme Networks is investigating the acquisition of Ruckus Networks from CommScope. The deal could be worth more than \$1 billion (€857 million). No decision has been made yet, and Extreme may decide not to proceed with the acquisition.

Deal	Year	Price	Approx. EV/EBITDA
HPE / Juniper	2024	~\$14B	~15-21x
Brocade / Ruckus	2016	~\$1.2B (net)	~18-22x
Arris / Ruckus (Broadcom)	2017	\$800M	~10-13x

Key risks for Ruckus involve the following:

- Competition intensifying resulting in near-term margin tension.
- DDR4 memory constrains as an industry wide issue but that affects mid-tier players with less supply chain leverage. \$20M EBITDA impact across both segments in 2026, with some pricing lag in passing costs to customers.
- The channel-only model is a double-edged sword. Ruckus goes 100% through partners, which limits direct customer relationships but enables capital-light scaling. If key channel partners shift allegiance (particularly in a consolidating market), the impact can be swift.

Aurora Networks

Aurora Networks basically builds the physical equipment that cable and fiber internet companies put out in the field: things like signal boosters, network nodes, optical boxes, and CMTS gear so they can deliver broadband to homes and businesses over cable (HFC) and fiber (PON).

Aurora's revenue is derived from 3 different sources:

1. DOCSIS 4.0 equipment (growth engine): FDX amplifiers, unified nodes (supporting both FDX and ESD), remote PHY Devices. This is the new cycle. Comcast is the lead customer. FDX amplifiers are now live across Comcast's footprint and further deployment is progressing properly, delivering multi-gigabit symmetrical speeds to millions of homes. A second major U.S. operator was qualified in Q4 2025, with shipments beginning Q1 2026. Aurora shipped a record number of D4.0 amplifiers in Q4. Internationally, new orders for remote OLTs and PON chassis were secured in Asia and Europe. Aurora is the only vendor offering the complete DOCSIS 4.0 access technology ecosystem (nodes, DAA modules, amplifiers, and virtual CCAP) in a single portfolio. This is very relevant because operators upgrading their networks strongly prefer working with a single vendor for interoperability, integration testing, and lifecycle management. CommScope has shipped nearly 10 million amplifiers since DOCSIS 1.0 in 1997. The installed base relationship is deeply entrenched.
2. Legacy equipment (declining): Integrated CMTSSs, older video infrastructure, legacy licenses. These products serve operators who haven't yet committed to DOCSIS 4.0 upgrades. The revenue is high margin because R&D is fully amortized and much of it comes as software licenses. In 2025, this category was unusually strong as operators delayed D4.0 decisions and purchased legacy license extensions instead. Management has clearly stated this will normalize in 2026 and beyond. The margin headwind from this mix shift, away from high-margin legacy toward lower-margin new products is the primary reason Aurora's EBITDA is guided down in 2026 even as revenue may grow.
3. PON/fiber (emerging): Optical line terminals and passive optical network equipment for fiber-to-the-home (FTTH) deployments. This is a smaller contributor today but represents optionality as global service providers invest in fiber buildouts.

Customer Concentration

This has been the biggest risk in this segment. Top three customers represent 40-45% of total VSN revenue and management confirmed this concentration is primarily in Aurora segment and not Ruckus. Given Aurora's bigger revenue, this likely implies that a single customer (probably Comcast) represents 20-30% of total company revenue.

This creates a binary dynamic: if Comcast's D4.0 deployment accelerates, Aurora's numbers could dramatically exceed expectations. If Comcast pauses or slows, Aurora's revenue could cliff. The project-driven nature of the business amplifies this. There's limited backlog visibility and orders can be lumpy quarter to quarter.

Aurora Networks Financials

Aurora Networks generated roughly \$1.24B in revenue and \$252M in adjusted EBITDA in FY2025, representing 47% and 138% year-over-year growth respectively, implying EBITDA margins of approximately 20%. However, FY2025 was an unusually strong year. Aurora benefited from the initial ramp of FDX amplifier shipments alongside an unexpectedly robust contribution from high-margin legacy DOCSIS 3.1 product licenses, as persistent delays in operator DOCSIS 4.0 upgrade timelines extended the tail on that business. FY2024 was depressed by weakness across the broader cable capex cycle, with Aurora EBITDA estimated around \$106M on roughly \$840M of revenue (~12.5% margins). For 2026E, management expects Aurora revenue to continue growing mainly driven by accelerating DOCSIS 4.0 and FDX deployments, new PON chassis wins in Europe, and remote OLT orders in Asia. EBITDA though, is guided to decline year-over-year as the product mix shifts away from higher-margin legacy licenses toward lower-margin amplifier hardware, compounded by roughly \$30M of stranded costs from the CCS separation that should largely wash out by 2027. The business is inherently project-driven and lumpy, with high customer concentration and the pace of the DOCSIS 4.0 upgrade cycle among cable operators remains the key factor for both the top line and the margin trajectory over the next several years.

Aurora is inherently harder to compare because there are no pure-play broadband access equipment companies of Aurora's size. It does not really have good public comps in my opinion. The closest comparables could be:

- Harmonic (HLIT): Sells video and broadband solutions to cable operators. Trades at ~8-10x forward EBITDA but has a higher software mix.
- ADTRAN (ADTN): Fiber access and broadband equipment. Trades at depressed multiples given recent revenue declines.
- Vecima Networks (VCM.TO): Canadian small-cap selling DOCSIS and video access equipment. Trades at ~6-8x EBITDA.
- Calix (CALX): Broadband platform for smaller service providers. Trades at premium multiples (15x+).

For a hardware-centric, project-driven, customer-concentrated business, 5-7x EBITDA is the range I think is reasonable. On roughly \$200-230M of normalized EBITDA (reflecting the legacy decline and D4.0 ramp), that implies \$1.0-1.5B of value. At the low end, Aurora could be valued conservatively at \$800M-\$1B as a cash-generative but lumpy equipment business with some cyclicity.

If DOCSIS 4.0 truly enters a multi-year acceleration with multiple Tier-1 operators deploying simultaneously, Aurora's EBITDA could step up materially from current levels. In that scenario, the business is worth significantly more, but it still seems unclear and caution is required as management flags.

Key risks for Aurora

- Customer concentration: Comcast dependency is real and non-diversifiable in the near term.
- If legacy license sales drop faster than D4.0 ramps, margins compress.
- Technology risk. If operators pivot more aggressively to fiber overlay (FTTH) rather than upgrading HFC with D4.0, the total addressable market for Aurora's core products shrinks.
- Management has explicitly warned about quarterly volatility. Management expect adjusted EBITDA to be up YoY but they flag quarterly volatility.

Free Cash Flow Analysis and Valuation

We know that over the past couple years, the company sold:

- Home Networks business and Outdoor Wireless Networks business for \$2.1 billion
- Connectivity & Cable Solutions segment for \$10.5 billion

Published financials still do not reflect the recent changes if you look at them. They are still anchored on old figures prior to the latest segment divestiture which is the CCS segment. This is where I think the opportunity comes from. You have a company that on the surface it screens quite badly and you have a hidden stub that at current share prices is being valued at 3x EV/EBITDA multiples. I'm going to work our way down from pre-transaction figures, through what I think are reasonable assumptions to current situation.

Prior to the latest CCS transaction, the company held \$923M in cash (including \$168M held in CCS assets), long-term debt of \$7.26B, and preferred equity held by Carlyle. The CCS sale generated gross proceeds of \$10.5B, and approximately \$10B net proceeds if we account for taxes and transaction costs. Those proceeds were used to repay all outstanding debt, redeem all Series A Preferred Stock held by Carlyle. VSN retained the \$584M ABL revolver facility.

If we now look at pro forma cash position after CCS but pre-distribution we can see that management stated the company had \$2.6B in cash on hand as of the most recent earnings call in Feb. This reflects \$923M pre-existing cash + \$10B CCS net proceeds - \$7.26B debt repayment - preferred redemption + Q1 operating cash flow. On the Q4 call, an analyst asked about minimum operating cash, and CFO Kyle Lorentzen responded that the company wants to keep "a couple hundred million dollars" of cash for financial flexibility, "maybe a little bit more." With approximately 221.5M diluted shares, the \$10+/share distribution implies at least ~\$2.2B distributed, leaving roughly \$200-400M of cash on the balance

sheet post-distribution. In the earnings call they also said they intended to “add modest leverage” so in my opinion, it would be reasonable to think that they will return a \$11-\$12/share distribution which would imply giving the full \$2.6B cash position and funding the small cash position through the previously mentioned modest leverage.

Market cap at ~\$17/share x ~221M shares = ~\$3.75B. Subtract the ~\$11.7/share distribution (\$2.6B assuming they give all of it) and the post-distribution market cap is roughly \$1.15B (implying a \$5-6/share stub as noted earlier). With net debt approximately zero (modest leverage roughly offsets the retained cash position), the pro forma TEV is approximately \$1.15B. Against the \$375M EBITDA guidance midpoint, this implies ~3x EV/EBITDA which seems quite unreasonable

The case is already attractive and clear using the EBITDA-based approach to valuation in my opinion. However, it is also true that it does not fully capture the cash-generative nature of this business.

In 2025, VISN's operations generated \$253M in FCF on \$379M of core adjusted EBITDA which implies a FCF conversion rate of approximately 67%. On a full-year basis, the company's total capex was modest relative to revenue at roughly \$25-30M per year, consistent with its asset-light model where R&D is expensed and manufacturing is largely outsourced.

Starting with management's core adjusted EBITDA guidance midpoint of \$375M, subtract estimated capex of roughly \$30M, cash taxes of ~\$40-50M (VISN now has minimal interest expense and should begin paying meaningful taxes on its operating income post-deleveraging), and WC drag of ~\$20-30M as Aurora's project-driven nature creates some lumpiness. This results in a \$265-285M 2026E FCF. What is more important though, is that Vistance enters 2026 with zero debt and a much cleaner capital structure after using the CCS proceeds to retire all borrowings and preferred equity and management has stated that they plan to add modest leverage and a couple hundred million in cash for flexibility. This last part supports using divestiture proceeds to return to investors and fund the modest cash position through leverage.

The stub equity post-distribution at ~\$5-6/share and approximately 220M diluted shares implies a post-distribution market cap of roughly \$1.1-1.3B. and with an estimated \$265-285M 2026E FCF, the stub trades at roughly 4 to 5x FCF which is remarkably low for a business running on high FCF margins on \$2 billion revenue. If we compare this analysis with EXTR, we can see how EXTR trades at approximately 10x (has traded significantly higher recently), Calix at 25x+ and even more depressed names like ADTRAN trade at 8-10x normalized earnings. If we assign a 10x multiple on \$275M of normalized FCF, it would imply a stub equity value of roughly \$2.75B and \$12.5/share which is more than double the current implied stub price. Even applying an aggressive 30% discount to account for Aurora's customer concentration and project lumpiness, you get to \$8-9/share for the stub, still well above where the market prices it today.

An important caveat to highlight is the risk that Aurora's FY2025 EBITDA was on higher part of its cyclical component (likely above mid-cycle due to unusually strong legacy license sales) that management expects to normalize. Aurora's mix is expected to worsen in 2026, management expects increasing revenue but slightly worse margins. The question is if this will be offset by Ruckus growth. At current stub prices, the market is assigning minimal value to Aurora anyway, meaning the cyclical risk appears largely priced in.

Conclusions

While the two remaining segments have very different earnings profiles, I think it is reasonable to value them all together based on normalized EBITDA estimates using a 6-7x conservative multiple. Management guided to \$375 million core EBITDA for 2026. Using a 7X multiple, enterprise value sits at over \$2.5 billion. This would result in a stub share price of \$11-12 per share vs. the \$5-6/share current stub value.

Regardless of how you value what's left of the business (either by SOTP or general conservative multiple), I think the opportunity and the market dislocation is notable and attractive and the market is not paying attention.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise do not hold a material investment in the issuer's securities.

Catalyst

Large dividend in April

Clean proforma financials post second quarter

Messages

Subject Share count / sale / mid cycle
Entry 03/06/2026 08:32 AM
Member starfox02

Thanks for the interesting idea. Few questions:

- 1) it's obviously very rare to see a management team shrink the size of the business this much... Instead of trying to go acquire something else with the cash, giving it to shareholders. Anti empire building. Do you think they're setting up to sell both the remaining pieces, which seem to have no synergy with each other? Is there any natural buyer for Aurora?
- 2) last few years have been messy with 2023 boom after supply chain constraints for ruckus, 24 destock, etc. How do you think about "normal" or "mid cycle?"
- 3) sorry to nitpick but on share count - your figure is Q4 average but 10k says over 225 basic as of February. Meanwhile there's 10m in equity awards shares that show up for the full year but not Q4 for some reason? Also at one point they reported 280m diluted but that included low 40s for the Carlyle convert. There appear to be a lot of moving numbers but I would probably use 235, which does change the math a bit - it's quite confusing to me, any clarity here?

Subject Taxes
Entry 03/07/2026 08:37 AM
Member Mustang
 Are the net proceeds from the CCS sale net of taxes or just transaction costs and related expenses?

Subject Re: Share count / sale / mid cycle/Taxes
Entry 03/10/2026 11:27 AM
Member lpartners

1- I agree. Behavior pattern is suggestive of a managed wind-down or dual sale rather than building a standalone platform. For Ruckus specifically, the pattern is more visible and as I mentioned there were already rumours of acquisition in Jan 2026 for a good premium. EXTR who was the mentioned buyer makes strategic sense in my opinion. They've publicly talked about a \$2B revenue target, and Ruckus would get help get them there while also earning synergies. For Aurora, the buyer universe is narrower and more specialized, which is a fair concern. If they end up selling Ruckus for a good price as they were mentioning, you are basically getting Aurora for free.

2- This is a quite complex question specially for Aurora. You are right that the last few years have been a bit of mess. I'd probably put mid-cycle Ruckus somewhere around \$120-150M of EBITDA. I'm basing my analysis on the 2026 guidance which seems quite conservative. Margins settling in the high teens to low 20s is consistent with EXTR's profile. For Aurora, it gets much murkier as performance has been quite lumpy. I'm not even trying to estimate mid-cycle too perfectly honestly. 2025 benefitted from unusually strong legacy license revenue that management explicitly says it will decline.

3- That is a good point even though I think it does not change the numbers too meaningfully. I had been following the VISN situation for a few months now and when I started really paying attention was after Q3 2025 results. The 221,5 comes from a proxy statement from September 2025. The share count situation here is quite messy as you had the Carlyle convert inflating diluted for most of the company's recent history, then the preferred redemption collapsed that back down, but meanwhile equity awards kept vesting and shares were issued for tax withholding through year-end. The 10M in awards showing up for the full year but not Q4 likely reflects options that were in the money earlier in the year but fell out of the treasury stock method as the share price moved. I think your 235M fully diluted is the likely right number to use but it is quite messy. Running the math with that count you have \$2.6B cash on 235M shares is ~\$11.1/share distribution, stub at \$17 is ~\$5.90/share, implied stub market cap is tiny bit higher, and against \$375M EBITDA midpoint you're a little over ~3.5x. Directionally the same story.

4- The company stated that net proceeds after taxes and transaction expenses would be approximately \$10 billion. So yes, the ~\$10B net proceeds is net of both taxes and transaction costs.

Subject General corporate costs
Entry 03/12/2026 02:06 PM
Member blmsvalue

You used management's core adjusted EBITDA to value the segments separately but what is your view of the "corporate and other" cost line item (FY25: \$87.4M excluding equity compensation and restructuring) not included in core adjusted EBITDA?

The corporate and other line item above primarily reflects general corporate costs that were previously allocated to the CCS segment, OWN segment and DAS business unit. These indirect expenses have been classified as continuing operations, since the costs were not directly attributable to these discontinued operations. Beginning in the first quarter of 2025, the corporate and other costs related to the OWN segment and DAS business unit have been reallocated to our remaining segments and partially offset by income from the AmphenolTSA. The corporate and other costs related to the CCS segment will be reallocated to our remaining segments beginning in the first quarter of 2026.

These \$87.4M are the overhead that used to be allocated to the discontinued operations but stays with continuing operations. I assume it includes a lot of items such as executive salaries and public company expenses that they are unable to cut. The \$350-400M in management FY26 adjusted EBITDA guidance is also "core adjusted EBITDA" or only segment level. What do you expect corporate costs to be for 2026 and going forward?

The FCF / core adjusted EBITDA conversion rate of 67% would be 90% if you used adjusted EBITDA with corporate and other costs included.

Subject
Entry
Member

Re: General corporate costs
03/12/2026 02:37 PM
starfox02

Not sure this is accurate? On the Q2 call, they said:

"Answer – Charles L. Treadway: *The second part of your question on the overhead costs, corporate overhead costs, as part of the transaction, we're going to convey or transfer a significant amount of our G&A team to Amphenol. And I think when we're sort of done with conveying those people and setting up the RemainCo, we would expect the G&A cost that are currently being allocated to ANS and into RUCKUS to be representative of what we believe a go-forward G&A organization is going to look like for RemainCo.*"

On the Q4 call, they said:

"As Chuck mentioned earlier, we are projecting adjusted EBITDA in the \$350 million to \$400 million range. In our Vistance adjusted EBITDA guidepost, we have included approximately \$30 million of stranded costs associated with the CCS transaction in 2026. During 2026, a large majority of the stranded costs will be eliminated, and we expect the stranded costs to be minimal when we move into 2027."

That certainly makes it sound like the guidance includes the overhead that isn't going with CCS.

Philosophically, I'm also not sure that this assertion makes sense: *"it includes a lot of items such as executive salaries and public company expenses that they are unable to cut."* They just sold a segment that had ~\$4B in sales and the remaining businesses combined are half that size. Presumably your audit costs go way down, presumably you need less HR/legal/whatever working on the business, presumably there are a lot of executives (if not the CEO) who now have little to nothing to do... and to my question about the likelihood of a sale, that just makes the idea of selling even more attractive? I agree some of these costs are fixed but certainly not all of them. It would boggle the mind if you shrunk the size of your business by 66% and were unable to find something to cut - \$87 million is a lot of money (there are public companies for whom that is the entirety of their revenue!)

Subject
Entry
Member

Re: Re: General corporate costs
03/12/2026 03:40 PM
blmsvalue

I think it's a bit unclear.

We beat our full year adjusted EBITDA guidance of \$350 million to \$375 million for core Vistance Networks. As we move into 2026, we are well positioned to continue to benefit from the upgrade cycles in both businesses. Based on our current visibility, we are projecting 2026 core Vistance adjusted EBITDA in the \$350 million to \$400 million range.

It appears they are saying "core Vistance adjusted EBITDA" to refer to the segment results only in 2026 and saying it in context of 2025 results where it didn't include corporate and other costs.

The 10-K confirms these costs are continuing operations and will be reallocated to the remaining segments this year:

Our continuing operations results include general corporate costs that were previously allocated to the CCS segment, OWN segment and DAS business unit. These indirect costs, reflected on the corporate and other line item within our segment information below, are classified as continuing operations, since the costs were not directly attributable to these discontinued operations. Beginning in the first quarter of 2025, the corporate and other costs related to the OWN segment and DAS business unit have been reallocated to our remaining segments and partially offset by income from our transition service agreement with Amphenol Corporation (Amphenol TSA). The corporate and other costs related to the CCS segment will be reallocated to our remaining segments beginning in the first quarter of 2026.

Additionally, below we refer to certain supplementary Core financial measures, which reflect the results of the RUCKUS and Aurora segments, in the aggregate, and exclude general corporate costs that were previously allocated to the CCS segment, OWN segment and DAS business unit, since these costs were not directly attributable to the discontinued operations. The Core results represent the business results as currently managed and reported by the Company. Future results and the composition of any business divested in the future may vary and differ materially from the presentation of the Core financial measures. See the "Segment Results" section below for the aggregation of our Core financial measures.

The Q425 call said the opposite though, that these are discontinued operations:

Adjusted EBITDA from continuing operations was \$292 million, which increased by 1,095%. Adjusted EPS was \$0.77 per share versus \$0.10 per share for 2024. For core Vistance Networks, which excludes the CCS business and general corporate costs that were previously allocated to the CCS OWN and DOS businesses, we reported adjusted EBITDA of \$379 million for the full year 2025, up 176% versus prior year. We believe this is a better representation of our performance and future results as it excludes certain stranded costs and onetime write-offs that are included in the U.S. GAAP discontinued operations presentation.

Subject
Entry
Member

Implied Multiple Calculations
03/12/2026 03:49 PM
quads1025

Lpartners,

Thank you for the idea. Looking at it and having trouble getting to the implied 3.0x EV/EBITDA multiple you calculated for the RemainCo. Here's the math that I'm doing. Perhaps you could point out where we differ in our calculations?

When I look at the Company's 10-K, VISN has \$754.4mm in Cash, \$7,260.2mm in Debt and \$1,278.7mm in Preferred. That's Net Debt of \$7,784.5mm.

VISN is going to use \$10.0bn in net proceeds from the sale of CCS business to pay down all their Debt and Preferred. So, after they do that, VISN will have \$2,215.5mm in Cash remaining.

I know there was some commentary on posts here about the right share count to use, but for these calculations I'm just going to use the share count on the cover of the 10-K of 225.462mm. The \$2,215.5mm in Cash equates to \$9.82/share.

Management indicated they would distribute at least \$10/share in cash to shareholders as a special distribution. They also noted that they would add very modest leverage to the balance sheet to do that.

Using the \$375mm midpoint of VISN's 2026E EBITDA guidance of \$350-400mm and assuming VISN levers up by 1.0x, that means they raised \$375mm in debt, and added another \$375mm in cash to their balance sheet.

So, \$2,215.5mm in cash + \$375mm in cash from the debt raise = \$2,590.5mm in total cash. They distribute \$10/share, or \$2,254.6mm. That leaves the Company with \$335.9mm in remaining cash and \$375mm in debt.

The stock is currently at ~\$17.80. Subtracting off \$10/share for the distribution leaves \$7.80/share for the RemainCo. With 225.462mm shares out, that's \$1,758.6mm in market cap. With \$335.9mm in remaining cash and \$375mm in debt, that's \$1,797.7mm in EV.

At the midpoint of management's guidance of \$375mm, that's an EV/EBITDA of 4.8x.

Where do we differ in our calculations?

Subject	Re: Re: Re: General corporate costs
Entry	03/12/2026 07:30 PM
Member	starfox02

blmsvalue: for what it's worth, JPMorgan is not modeling the corporate expense. They have \$377/\$434M in 2026/2027 Adj EBITDA. Not that the sell side is always right or anything, but I'm hoping they wouldn't miss \$87M / 23% of their EBITDA estimate while talking to management. And they do mention the stranded costs... (also, quads, fwiw they agree with your cash estimate.)

Subject	Second the EV multiple query
Entry	03/13/2026 04:34 PM
Member	Jim Snow

Hi lpartners - thanks for the interesting idea. If I can I'd like to second quads question below. Your write up references an EV of \$1.15bn, whereas I'm coming to \$1.8bn, which is 60% higher and thus a less obviously compressed ~5x multiple rather than 3.0x.

For ease of calculation, let's ignore what they end up distributing or raise in debt as it doesn't impact EV. For consistency I've used Sp at time of write up at 17.87, and added a second 'B' calc to reflect your lower 221m diluted shares (do we agree this should be 235m?). Even using 221m shares I can't get to your \$1.15bn:

Cash as of Dec '25	\$m	754	
C&CE retained from AHFS	\$m	168	
Net CCS sales proceeds	\$m	10,000	
LT debt as of Dec '25	\$m	(7,260)	
Pref equity as of Dec '25	\$m	(1,279)	
Net cash	\$m	2,384	
			A B
VISN Sp		17.87	17.87
Basic shares		225.5	
Diluted shared		10.5	
NOSH		236.0	221.0
Mkt cap	\$m	4,217,949	
Net cash (debt)	\$m	2,384,384	
EV	\$m	1,833,566	
Segment EBITDA mid point	\$m	375	375
Multiple	x	4.9x	4.2x

Continuing central cost	\$m	(30)	(30)
Group EBITDA	\$m	345	345
Multiple	x	5.3x	4.5x

Am I missing something here? 5x is still cheap obviously, but knowing nothing about the businesses, if we put Ruckus on 9.5x (Extreme's current multiple) and put Aurora on 5x (ball park estimate from sell side conversations I use in the absence of an informed view, also matches your lower end 5-7x), given ~2/3 EBITDA weighting from Aurora blends to 6.5x proxy for fair value. If 6.5x is directionally sensible, this is a return of 117% from 3.0x but 'only' 33% from 4.9x. The 5x starting multiple eats into ~3/4 of the return, hence interest in clarifying this.

Finally on central costs, I'm also a bit confused what should be included. The 375m does seem to be a segment level guide. Mgmt commentary seems to suggest they think they largely eliminate the '25 87m enterprise costs by '27, but I'm not sure how realistic that really is. Do we know exactly what these costs relate to and how they are going to be completely removed? My worry is it's easier said than done. JPM model 30m residual central cost in '26, meaning segment guide of \$375m translates to \$345m for the group. If we think 345m is the right number then multiple rises further to 5.3x and returns compress again.

Thanks,
Jim

Subject	Re: Second the EV multiple query
Entry	03/14/2026 12:29 AM
Member	starfox02
Jim -	

Genuine question, not trying to be snarky - where are you seeing JPM getting to 345? Their exact verbiage post Q4 is as follows:

*"2026 Guidance: Core EBITDA outlook of \$350-\$400 mn slightly softer than expected. **The EBITDA growth implied is essentially flat y/y at the midpoint vs. the \$379 mn delivered for 2025, amid headwinds offsetting potential EBITDA growth, including legacy license normalization in Aurora Networks, ~\$30 mn stranded CCS costs, lapping ~\$10 mn of E&O (excess and obsolete inventory) benefit at Ruckus, incremental sales investment, and ~\$20 mn of DDR4 related memory headwinds. The cost headwinds are in part offset by the DOCSIS 4.0 volume ramp from a new Tier 1 MSO win announced and mid-teens revenue growth at Ruckus driven by WiFi 7.**"*

This would seem to imply the 30m of stranded costs are already included in the 350 - 400 figure. Furthermore, the JPM model tables (see below) align with this as they show a "total EBITDA" figure within the 350 - 400m guidance range, implying they are not modeling any costs below that figure, unless they are somehow just intentionally excluding it from their model, which would be strange. Their 2027 estimates also have EBITDA up >13% on 5-6% rev growth and they imply part of this is due to *"the company also has to work through stranded costs from the assets sold recently, which the company will work down into 2027."* Their valuation multiples appear to be based on these EBITDA figures and I think it would be strange (at least I've never seen it before?) where an analyst intentionally ignores corporate overhead for the purpose of their model? If I am wrong, please let me know because I am working at least partially on the assumption that sell-side analysts would have more clarity on this topic than me.

Stepping back, my model is also significantly less favorable than lpartners. However, my ultimate conclusion is that in the most uncharitable case - i.e. using

quads' \$2.2B in cash, assuming some level of corporate cost burden not captured in the \$350 - \$400 (not \$87, but something higher than \$30), and the 235 diluted figure I came up with (I still don't know if that's accurate), and taking out ~\$25M for stock comp (they guided \$22 or so) - you still get to the stub being priced at say ~6x on 2026 EBITDA and there are reasons to believe, ceteris paribus for all other conditions, that 2027 would look meaningfully better (\$20M memory pass through, \$30M stranded costs, even if offset by inflation or other costs), so maybe that number looks more like 5 - 5.5x. Given the uncertainty, I'm more looking at this as a range (and also, I do agree that Aurora doesn't really deserve a high multiple). Without going number by number, I basically get a spread that looks like there's not much downside below \$17, maybe the \$16s, and upside to \$22 or beyond in the bull case, with my confidence range being more like \$17 to \$21. If we just pick \$11 as the cash distribution which we are getting back relatively soon, at ~\$18 the stub is priced at \$7 and the upside/downside skew (to me) appears to be \$5 (if we make all of the worst assumptions) to \$12+, and my higher confidence range is more like \$6 to \$10.

I may not agree with lpartners on exact numbers, but I think this message board actually highlights the behavioral / inefficiency aspect of the thesis - instead of talking about business quality / etc etc, we are debating what should normally be matters of fact like what EBITDA actually is, what the share count is, what the cash position is, etc. This is a business that not so long ago was 10x levered (!) and traded for like a dollar, and then it changed its name to something nobody knows. I think lpartners is right that this is a weird stranded asset, and I think that it's likely that once there's more actual clarity (for example, Q1 results and a dividend announcement, where we actually get a clean look at a balance sheet and share count and we know what the distribution is), then there will be more investors willing to take a look at what is now a less inscrutable situation.

My major concern is really whether Aurora is an asset I actually want to own or not... said differently, if Aurora were a standalone business, I'm not sure it would make it past my quality threshold regardless of the price. But that doesn't mean it's not worth anything; I do agree that the implied Aurora multiple, if we assign 7-8-9x EBITDA to Ruckus, might be more like 1 - 5x for Aurora, so I also have it as either nearly free or really cheap, making it somewhat less of a concern, since it seems like if we assume some non-heroic valuation for Ruckus, we are paying very little for Aurora.

I also think the logic above is not lost on management; with all apologies to HLIT/ADTN/etc, I don't really see a reason for a standalone Aurora to be a public stock. It seems a bit pointless and it would be a bit of a head-scratcher for a management team that previously managed much larger assets to deal with all the hassle of being a public company for what... running a lumpy hardware business with basically three customers? And if either Aurora alone or Vistance as a whole were trading for ~4-5x EBITDA for very long (which is what would need to happen for us to lose money here), it seems to me that management would just sell the businesses. Expert interviews out there with multiple formers strongly suggest that A) aurora/ruckus have no synergies and B) everything was for sale, including these two. This might not be the highest IRR idea in the world but I do think there's a unique timeliness angle because it seems likely that the remainco will either rerate as more info becomes available, or that given the pattern of dispositions and the choice to distribute the remaining cash rather than use it to pivot to some other line of business, the remaining two pieces will just be sold. (Not that it's definitive, but for what it's worth, rumors came out in May 2025 that Commscope was looking to sell CCS for \$10B+, and three months later it was indeed sold for that price. Now there are rumors, as of January, that Extreme is looking at Ruckus for \$1B+, and surely that might cause others to look at Ruckus and/or management to be running some sort of process on Ruckus... maybe later this spring or summer we see another announcement?)

Anyway, here are the JPM numbers I'm seeing, please let me know if I am missing the corporate line item:

Vistance Networks: Summary of Finan

Income Statement - Annual	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	4,807	4,645	2,084	2,204	-
COGS	(2,972)	(2,680)	(1,061)	(1,093)	-
Gross profit	1,834	1,965	1,023	1,111	-
SG&A	(713)	0	0	0	-
Adj. EBITDA	916	1,042	383	434	-
D&A	(147)	(90)	(125)	(132)	-
Adj. EBIT	769	952	258	302	-
Net Interest	(633)	(435)	(25)	(22)	-
Adj. PBT	172	522	233	280	-
Tax	(70)	(143)	(64)	(77)	-
Minority Interest	-	-	-	-	-
Adj. Net Income	102	378	168	203	-
Reported EPS	0.39	1.37	0.75	0.90	-
Adj. EPS	0.39	1.37	0.75	0.90	-
DPS	-	-	-	-	-

Vistance Networks Summary Table

\$ in Millions, Except Per Share Data

	2024	1Q25	2Q25	3Q25	4Q25	2025E	1Q26E	2Q26E	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E
Revenue	4,807	1,112	1,388	1,630	515	4,645	449	538	557	540	2,084	480	553	595	576	2,204
% chg y/y	-28.3%	-4.8%	0.1%	50.6%	23.9%	-3.4%	23.9%	23.9%	23.9%	23.9%	-55.1%	23.9%	23.9%	23.9%	23.9%	5.8%
Gross Margin	38.2%	42.2%	42.7%	41.0%	45.6%	42.3%	48.0%	50.5%	49.2%	48.4%	49.1%	50.5%	51.9%	50.3%	49.0%	50.4%
Opex	1,065	256	283	292	182	1,013	177	195	203	189	655	190	201	217	202	678
as % of sales	22.2%	23.0%	20.4%	17.9%	35.3%	21.8%	39.5%	36.3%	36.5%	35.0%	31.5%	39.5%	36.3%	36.5%	35.0%	30.8%
Net Income	102	39	119	172	48	378	23	51	47	48	168	34	58	55	55	203
Diluted EPS	\$0.39	\$0.14	\$0.44	\$0.62	\$0.17	\$1.37	\$0.10	\$0.23	\$0.21	\$0.21	\$0.75	\$0.15	\$0.26	\$0.25	\$0.24	\$0.90
Diluted Shares (avg.)	263	272	273	278	280	276	225	225	225	225	225	225	225	225	225	225
Total EBITDA	916	245	338	403	99	1,042	65	109	104	104	383	82	120	118	115	434
Total EBITDA margin	19.1%	22.0%	24.3%	24.7%	19.3%	22.4%	14.5%	20.2%	18.7%	19.4%	18.4%	17.0%	21.6%	19.8%	20.0%	19.7%
Cash	565	493	571	705	754	754	2,136	447	514	640	640	612	640	699	842	842
Debt	9,238	7,245	7,250	7,255	7,260	7,260	0	574	574	574	574	574	574	574	574	574
Gross Leverage	10.1x	7.2x	6.9x	5.9x	6.7x	7.0x	0.0x	0.8x	1.5x	1.5x	1.5x	1.4x	1.4x	1.4x	1.3x	1.3x
Net Debt	8,674	6,751	6,679	6,550	6,506	6,506	(2,136)	127	60	(66)	(66)	(38)	(66)	(125)	(268)	(268)
Net Leverage	9.5x	6.7x	6.4x	5.3x	6.0x	6.2x	-2.4x	0.2x	0.2x	-0.2x	-0.2x	-0.1x	-0.2x	-0.3x	-0.6x	-0.6x
Operating Cash Flow	273	(187)	77	151	281	323	(71)	9	78	136	153	(23)	33	66	149	225
Capital Expenditures	(25)	(16)	(13)	(16)	(26)	(70)	(9)	(11)	(11)	(11)	(42)	(5)	(6)	(6)	(6)	(22)
Free Cash Flow	343	(202)	65	135	259	257	(61)	17	86	144	186	(9)	46	78	162	278

One caveat is that some parts of their model don't make much sense, ex (mathematically) how does 153M OCF and 42M of capex add up to 186M of FCF for 2026, or 225/22 to 278 for 2027?

Subject
Entry
Member

Re: Re: Second the EV multiple query
03/14/2026 06:55 AM
Jim Snow

Hi Starfox,

No snark received don't worry ask away, it's a totally fair question because JPM's materials are incredibly unclear on this point. Below is a screenshot of JPM's model, showing their inclusion of \$30m stranded cost bringing their EBITDA down from the \$383m segment level EBITDA to \$353m group level. To your point, this is unclear from their summary tables you show. I think they show segment level EBITDA in the summary (headline) number to have something comparable to the guidance. I spoke to them yesterday and indeed re-confirmed they include \$30m cost below the guide. NB they are assuming that this \$30m goes to zero in 2027. When pushing on what the central costs relate to and how we get comfortable they go to zero, they didn't have any real insights other than taking mgmt word for it. The argument for excluding it from current multiples is that it's going to zero and non recurring so shouldn't be capitalised. My question is simply asking how realistic that is, as I have encountered plenty of companies that try to pull the trick of asking investors to ignore group costs. If the two remaining pieces are sold (and without knowing much here I would tend to agree with you / lp that there seems a decent chance of that happening), then maybe we can legitimately make the case for not capitalising group costs.

	Dec-25 4Q25	Dec-25 2025E	Mar-26 1Q26E	Jun-26 2Q26E	Sep-26 3Q26E	Dec-26 4Q26E	Dec-26 2026E
Ruckus	19.8	127.5	20.2	39.8	41.1	38.4	139.4
Aurora Networks	79.3	251.9	45.0	69.1	63.2	66.0	243.3
Total (Core) Segment EBITDA	99.1	379.4	65.2	108.8	104.3	104.4	382.7
y/y %	54.8%	176.1%	3.4%	-14.1%	15.1%	5.4%	0.9%
Segment Adj EBITDA Margin							
Ruckus	11.8%	18.2%	12.0%	19.0%	20.0%	20.0%	18.0%
Aurora Networks	22.8%	20.4%	16.0%	21.0%	18.0%	19.0%	18.6%
Total Segment EBITDA Margin	19.3%	19.6%	14.5%	20.2%	18.7%	19.4%	18.4%
Corporate and other	-34.4	-87.4	-30.0				-30.0
% of revenue	6.7%	4.5%	6.7%				1.4%
Total Adjusted EBITDA	64.7	292.0	35.2				352.7
Total Adjusted EBITDA Margin	12.6%	15.1%	7.8%				16.9%

On cash, you mentioned using quads \$2.2bn - quads correct me if I'm wrong, I think you're missing the \$168m cash retained from assets held for sale? I confirmed yesterday with JPM (who in turn confirmed with the company) that \$168m of cash in assets held for sale on B.S. as of Dec-25 was retained by VISN, and therefore correct cash position in Dec-25 was \$923m. This is why pg. 10 of their inv pres shows \$923m:

- 4.8X net leverage ⁽¹⁾ (including CCS) at the end of the year.
- Cash on hand of \$923 million ⁽²⁾ and available liquidity of \$1.54 billion.

To your points on the nature of this idea - totally agree I think this is still interesting, esp with the further M&A optionality that doesn't seem to be reflected in the price. Thanks again to lpartners for sharing this. I'm continuing to mull over... the questions on central costs and true embedded multiple are a bit pernickety I agree, but I do think they influence sizing - if it's really 3.0x + M&A kicker, it starts to look like a back up the truck situation. If it's really 5.3x it's still interesting but perhaps not a complete one way bet.

Best,
Jim

Subject Re: Re: Re: Second the EV multiple query
Entry 03/14/2026 09:04 AM
Member quads1025

Jim - You're correct. I didn't include the \$168mm in cash retained from assets held for sale in my calculations. Good catch.

And to be clear to everyone, I think this is an interesting long idea. Management has demonstrated a strong ability to sell assets. It makes sense for them to simply sell RemainCo post the cash distribution. I'm confident the Company's Board as well as the Company's bankers that advised them on their prior sales are thinking the same thing. The RemainCo businesses are worth more in the hands of a strategic than they are as a standalone company (elimination of overhead and corporate company costs). Accordingly, a buyout premium to where VISN shares trade post the cash distribution should be easily justified.

Subject Re: Re: Re: Re: Second the EV multiple query
Entry 03/14/2026 10:34 AM
Member starfox02

Thanks, Jim. That's a strange presentation from JPM then. I agree with you that any corporate costs should be built into the model, which I think does take us to the estimates you discuss where the idea is attractive but perhaps not "back up the truck" attractive.

Another question for the board, how do you think about buying this now vs post distribution?

Subject Re: Re: Re: Re: Re: Second the EV multiple query
Entry 03/14/2026 10:52 AM
Member starfox02

One piece of incremental color worth noting is that interviews with former employees seem to imply:

- 1) the businesses were all designed to stand alone and be sellable
- 2) corporate / management spent very little time on ANS/Ruckus over the past number of years, which makes sense (focus was on bigger needle movers)

Difficult to translate that into numbers, but does suggest that excluding public company costs, there wasn't a lot of top down support of these businesses that would require high tens of millions of overhead into perpetuity.

Subject Re: Implied Multiple Calculations
Entry 03/16/2026 11:36 AM
Member lpartners

Thanks for the detailed pushback. I think the main difference is the starting cash figure. You're building up from the 10-K's pre-transaction balance sheet, which gets you to ~\$2.2B in remaining cash. However, management explicitly stated on the Q4 earnings call that as of January 31, 2026, post-CCS transaction, the company had approximately \$2.6B in cash on hand. That's higher than your calculation implies, and I'll be honest that I can't fully reconcile the gap super accurately as it likely reflects some combination of Q4 operating cash flow, differences between reported debt/preferred carrying values and actual redemption amounts, and the exact net proceeds figure, but I don't have the precise bridge. Regardless, I think the \$2.6B management figure is the more reliable starting point. That higher starting cash is what compresses the stub EV relative to your math. If there's more cash on the balance sheet than your walkup suggests, then either the distribution is larger than \$10/share which by management's language it seems very plausible in my opinion, or more cash remains post-distribution, or both. Either way, the stub EV ends up lower than the ~\$1.8B you're calculating, which is what drives the multiple below your 4.8x. My approach definitely includes some assumptions that are unclear yet but it does not change the number much. I'm assuming it's probable they give more than the \$10 per share they mention with all the cash and the modest lev mentioned could be used to fund the new cash position. They explicitly say "at least \$10 per share" and \$2.6B cash position I think the situation looks very interesting in terms of MOIC and IRR. I also wrote the write up while VISN was trading at 17 and used a slightly wrong share count so that is also where we might differ a little bit. Nothing too relevant though.

"As of January 31, 2026, post CCS transaction, we have cash on hand of approximately \$2.6 billion."

"As a result of the transaction, we repaid all of our existing debt and redeemed the preferred equity. After placing a modest amount of new leverage on Vistance Networks, we will then distribute the excess cash to our shareholders as a special distribution"

Subject Re: General corporate costs
Entry 03/16/2026 11:40 AM
Member lpartners

This is quite unclear as you flag.

On the nature of the \$87.4M, I think this basically captures stranded overhead from the discontinued segments that couldn't be attributed to CCS/OWN/DAS and stayed classified as continuing operations. In 2025 numbers, this line is the bridge between the \$379M core segment adjusted EBITDA and the \$292M total adjusted EBITDA from continuing operations.

I don't think considering these costs largely uncuttable is fully right as the business is shrinking so much post-divestitures. On the Q2 call, Treadway was explicit that a significant portion of the G&A team is going to Amphenol and that the remaining structure is being sized for RemainCo. Audit, legal, and HR scale with complexity. Redundant executives below the C-suite can be streamlined. Some costs are genuinely fixed like SEC filings, SOX compliance, board fees don't drop proportionally but \$87M is a lot of overhead for a ~\$2B revenue company with two segments, and management is clearly not treating it as stuck.

On whether the \$350–400M FY26 guidance includes corporate costs I believe the labeling is definitely inconsistent as you highlight. In FY25, "core" explicitly excluded the corporate line (the Q4 call defines it as excluding "general corporate costs previously allocated to CCS, OWN and DAS."). But for FY26, the CFO said "In our Vistance adjusted EBITDA guidepost, we have included approximately \$30M of stranded costs associated with the CCS transaction in 2026. During 2026, a large majority of the stranded costs will be eliminated, and we expect the stranded costs to be minimal when we move into 2027." My best read is that the \$350–400M is closer to an enterprise-level number that already embeds most corporate overhead, with ~\$30M of residual CCS-related stranded cost that fades into 2027. But honestly this isn't perfectly clear at all and the core label and management's inconsistencies muddy it. I'd model ~\$30M for 2026 as guided, down sharply from FY25 due to reallocations, team transfers, TSA income, and cuts. By 2027, management flags stranded costs as minimal.

On FCF conversion, the 67% rate reflects a segment-level denominator that excludes real cash corporate costs. Using total adjusted EBITDA, conversion is higher based on my calculations (which were very approximate and just for a rough figure). For 2026, with ~\$30M of stranded costs embedded in the guided \$375M midpoint, I'd expect conversion in the 70–75% range after capex, taxes, and working capital, climbing by 2027 as stranded costs fade. This doesn't materially change the stub valuation as it is still ~3–4x EV/EBITDA on guided numbers, cheap versus comps.

Subject Re: Second the EV multiple query
Entry 03/16/2026 11:47 AM
Member lpartners

On the EV, my approximate \$1.15B uses \$17/share (I failed to update to the stock price when I posted), ~221M diluted shares (which is slightly lower as discussed earlier), and ~\$2.6B in net cash as of Jan 26 as management explicitly states in their latest earnings release, which gets you to a market cap of ~\$3.8B less \$2.6B = ~\$1.15B and I'm assuming the modest leverage they state could be used to fund the small cash position they say they want to keep (leaving 0 net debt). This of course has some assumptions that are still unclear even though I think it makes a lot of sense based on how management is presenting and stating things.

"As of January 31, 2026, post CCS transaction, we have cash on hand of approximately \$2.6 billion. With our current excess cash and the addition of new modest leverage on Vistance Networks, we plan to distribute the excess cash to our shareholders as a special distribution. We expect the special distribution will be at least \$10 per share and will be paid no later than the end of April. We expect the distribution to be a return of basis for tax purposes. Post distribution, we expect to maintain ample liquidity and significant financial flexibility."

Management also stated that they want to keep "a few hundred million" of cash on the balance sheet. My guess is that the "modest leverage" mentioned above will/could be used to fund the desired cash balance, leaving zero net debt.

On the multiple, I really think your question about segment vs group EBITDA is the right one to ask. The FY25 core EBITDA of \$379M explicitly excluded corporate and other costs, which is why total continuing ops adjusted EBITDA was \$292M. For FY26, the labeling gets very inconsistent and unclear. The \$350–400M guidance is called core Vistance adjusted EBITDA, but the CFO on the Q4 call said the guidance includes approximately \$30M of stranded costs from the CCS transaction, with a large majority expected to be eliminated during 2026 and minimal by 2027. My best read is that the \$375M midpoint already embeds most of the corporate overhead, making it closer to an enterprise number than a pure segment number. But honestly this isn't clear at all so we should take it with a grain of salt. If you take the JPM approach and treat it as segment-level with \$30M residual, you get \$345M group EBITDA which on my \$1.15B EV that's 3.4x. Either way, still cheap imo.

On whether the \$87M can realistically be cut, I think the direction is clear even if the pace is definitely uncertain. Management said on the Q2 that a significant portion of the G&A team is transferring to Amphenol and the remaining structure is being sized for the remaining segments. The fact that management is already guiding to only \$30M of stranded costs in FY26 implies they've addressed the majority of the \$87M within a year. Some costs are genuinely irreducible for a public company but those are probably much smaller than the \$87M figure. Your concern that it's easier said than done is fair and the right approach imo, and I'd watch the upcoming results closely to see how the reallocation flows through.

I think your logic is sound on your blended fair value. Ruckus at around 9x and Aurora at 5x with ~2/3 Aurora weighting blending to ~6.5x is a reasonable framework. The return from here depends on which EV and EBITDA basis you use, but even on the more conservative assumptions the entry multiple is well below 6.5x fair value. The margin of safety narrows versus the original writeup's 3.0x framing, but doesn't vanish. What makes the whole thesis attractive is the IRR and MOIC even on conservative stock performance as they return roughly 60% of capital and you are getting an apparent cheap stub that is going under the radar

Subject \$10
Entry 04/08/2026 10:12 AM
Member heffer504

Were you surprised this wasn't the full amount? Does it imply that the total cash balance isn't as high as anticipated?

thx, Heffer

Subject Re: \$10
Entry 04/09/2026 03:28 PM
Member lpartners

Yes, less than I expected. Don't know how much cash they left on the balance sheet, since they didn't use any leverage. Guess we'll get full clarity next month.

Subject Congrats
Entry 04/30/2026 10:59 AM
Member starfox02

Looks like a really nice price for Ruckus. Unfortunately, we didn't stay involved...

Subject Re: Congrats
Entry 04/30/2026 12:02 PM
Member lpartners

Much better price than expected. I'd rather be lucky than smart any day.